IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)82/BB/2017
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALAGAMATION
IN THE MATTER OF
SCHNEIDER ELECTRIC SOFTWARE INDIA PRIVATE LIMITED

Order delivered on 24TH November, 2017

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) 1. Shri.Saji.P.John, Advocate

Per: Hon'ble Shri Ratakonda Murali, Member (Judicial)

Heard on:15.11.2017

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to order to direct that the meeting of Equity Shareholders and Unsecured Trade Creditors of the Applicant Company be held for considering the Scheme of Amalgamation, where under Invensys Development Centre India Private Limited (Transferor Company) to be merged with Schneider Electric Software India Private Limited (Applicant/Transferee Company). The Scheme of Amalgamation shown as **Annexure-F.**

The averments made in the Company Application are briefly described hereunder:-

The Applicant Company seeks an order for convening of the Meeting of Equity Shareholders and Unsecured Creditors for considering the Scheme of Amalgamation of Invensys Development Centre India Private Limited (Transferor Company) with Schneider Electric Software India Private Limited (Applicant/Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-F.**

It is further averred in the Application that the Applicant/Transferee Company was incorporated on 28th March 2000 under the name and style of Netgalactic Portal Solutions

Private Limited with the Registrar of Companies, Karnataka. Subsequently on 9th May, 2003 the name of the company was changed to Skelta Software Private Limited. Again on 31st January, 2017 the name of the company was changed to Schneider Electric Software India Private Limited vide CIN bearing No. U72900KA2000PTC026794.The Registered office of the Applicant Company is situated at Salarpuria Touchstone, Survey No.15A& Portion of Survey No.14, P7, Kadubeesanahalli, Varthur Hobli, Bengaluru-560037

The main objects of the Applicant Company is to carry on the business of Web technologies, multimedia, internet and intranet applications and E-commerce applications and to design, create, develop, license, market, and deal in Web portal and E-commerce products including various business concepts etc., The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-A.**

The latest authorized share capital of Applicant Company is Rs.2,50,000/- divided into 25,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.2,04,520/- divided into 20,452 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2016 is marked as **Annexure –B**.

It is further stated that, the Board of Directors of the Applicant Company has approved and adopted a Scheme of Amalgamation at its meeting held on 11th October, 2017 by virtue of which Applicant Company Invensys Development Centre India Private Limited (Transferor Company) to be merged with Schneider Electric Software India Private Limited (Applicant/Transferee Company) subject to confirmation. A copy of the Board Resolution of Applicant Company dated 11th October, 2017 in approving and adopting the Scheme of Amalgamation is shown as **Annexure-E.**

It is stated in the scheme that, the scheme would inter-alia, have the following benefits:

1. Greater integration and greater financial strength and flexibility for the combined entities;
2. Greater efficiency in the cash management of the combined entities and unfettered access to cash flow generated by the combined business;
3. Benefit of operational synergies of the combined entities etc.,

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company certified the number of shareholders of the Applicant Company as on 31st September, 2017.Certificate issued by the

Chartered Accountant is marked as **Annexure-G.** It is further stated that there are two Equity Shareholders in the Applicant Company.

It is further stated that there are Nil Secured Creditors in the Applicant Company as certified by the Chartered Accountant shown as **Annexure-G**.

It is further stated that there are Nil Unsecured Creditors in the Applicant Company as certified by the Chartered Accountant shown as **Annexure-G.**

It is further stated that there is 51 Unsecured Trade Creditors in the Applicant Company as certified by the Chartered Accountant shown as **Annexure-G.**

We have heard the Counsel appearing for the Applicant Company. The Application is filed by the Applicant Company which is a Transferee Company to direct that the meeting of Equity Shareholders and Unsecured Trade Creditors of the Applicant Company be held for approving the Scheme of Amalgamation, where under Invensys Development Centre India Private Limited (Transferor Company) to be merged with Schneider Electric Software India Private Limited (Applicant/Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-F.**

The Applicant is seeking an order to direct that the meeting of Equity Shareholders, and Unsecured Trade Creditors of the Applicant Company be held for approving the Scheme of Amalgamation.

After hearing the counsel and after perusing the documents filed, we pass the following order.

The meeting of the Equity Shareholders of the Applicant Company be convened and held at Salarpuria Touchstone, Survey no.15A & Portion of Survey No.14, P7, Kadubeesanahalli, Varthur Hobli, Bengaluru-560037 on Thursday the 18th January, 2018 at 10:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Invensys Development Centre India Private Limited (Transferor Company) to be merged with Schneider Electric Software India Private Limited (Applicant/Transferee Company).

Mr.Udaya Prathivadi Lakshman Kumar, Whole-Time Director failing whom Mr.lju Vijaya Raj, Whole-Time Director as proposed by the Applicant Company is appointed as Chairperson and Ms.Manali Shah, Practising Company Secretary as Scrutinizer for the

Meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Equity Shareholders.

The meeting of the Unsecured Trade Creditors of the Applicant Company be convened and held at Salarpuria Touchstone, Survey no.15A & Portion of Survey No.14, P7, Kadubeesanahalli, Varthur Hobli, Bengaluru-560037 on Thursday the 18th January, 2018 at 10:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Invensys Development Centre India Private Limited (Transferor Company) to be merged with Schneider Electric Software India Private Limited (Applicant/Transferee Company).

Mr.Udaya Prathivadi Lakshman Kumar, Whole-Time Director failing whom Mr.lju Vijaya Raj, Whole-Time Director as proposed by the Applicant Company is appointed as Chairperson and Ms.Manali Shah, Practising Company Secretary as Scrutinizer for the Meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Unsecured Trade creditors.

The quorum for the Meeting of Equity Shareholders is two as proposed by the Applicant Company.

The quorum for the Meeting of Unsecured Trade Creditors is three fixed by the Tribunal.

The Notice of the Meeting of Equity Shareholders and Unsecured Trade Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Equity Shareholders and Unsecured Trade Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Trade Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Equity Shareholders and Unsecured Trade Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of

Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Equity Shareholders and Unsecured Trade Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Reserve Bank of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is

received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities Exchange Board of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity

with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Company approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

24/11/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

24. 11. 17

(RATAKONDA MURALI)
MEMBER, JUDICIAL